On September 1, 1927, Blackett moved an amendment to clause 7, which had the effect of prohibiting Members of Indian or Local Legislatures from serving as Directors on the Reserve Bank Board, but it was defeated. Blackett then moved an amendment to clause 8(I) (a) of the Bill, the purpose being to omit the provision inserted by the Joint Committee that the Governor or the Deputy Governor must be an Indian. The discussion was not concluded. When the House met the next day, Blackett submitted a proposal for adjournment of the debate on that day. Before anything concrete could emerge, further differences arose in the Legislature for communal distinction and reservation on the Board. The government opposed this, making it clear that there was no place for racial or communal considerations in what was essentially a business Bill. No agreement had been reached on the scheme of electoral colleges, and the Finance Member felt that the government and leaders of the parties 'should have a period over the week-end to consider whether this seemingly threatening cloud can be dispersed without an undue storm.'[15] The item was, however, not included in the next working day's agenda. A week later, Blackett announced in the Assembly that the government had decided not to proceed with the Bill.

Blackett while introducing the Bill had admitted that he favoured a gold *mohur* for India thereby compromising the government. He saw merit in the nationalist argument that a gold currency would encourage savings and investment behaviour, and help in dehoarding gold. He also saw the gold standard as a way of loosening the control of the India Office in the field of currency and finance.[16] Blackett's relations with the India Office had deteriorated soon after he took over as the Finance Member. In a departure from the pre-war method of remitting sterling to India through the India Office sales of council bills his officials began to buy sterling directly in Bombay. In this he had Monatagu Norman's tacit support and a frustrated India Office could do nothing about it. Blackett, who had been Controller of Finance at the Treasury, found the control of the India Office irksome. He deplored the fact that so much time was wasted in trying and failing to obtain authority for things which ought to be done by 'the people on the spot without reference home.'[17] He was also senior to, and more experienced than, the India Office officials who tried to instruct him. Within months of taking over as Finance Member, he wrote to Benjamin Strong,